NEXORA TECHNOLOGIES

Procurement Policy v4.3

Effective: 10 May 2025

Summary of Changes from v4.2

The following table lists every rule that changed between v4.2 and v4.3. Rules not listed here are unchanged. Existing contracts approved under v4.2 should be reviewed against the updated values.

Section	Rule	v4.2 Value	v4.3 Value	Impact
2	Liability Cap	USD 5,000,000 fixed	1x annual fees	Tighter for high-fee contracts
3	Indemnification	Broad-form (mutual)	Third-party / negligence only	Scope narrowed
4	Data Retention	Max 10 years	Max 7 years	Earlier destruction required
5	Renewal Term	Max 12 months	Max 24 months	Longer terms now allowed

1. Purpose and Scope

This Procurement Policy ("Policy") establishes the mandatory terms, approval thresholds, and negotiation guidelines that govern all supplier and vendor agreements entered into by Nexora Technologies ("Company"). It applies to all personnel with authority to bind the Company to a contractual obligation.

This version (v4.3) is effective from 10 May 2025 and supersedes Procurement Policy v4.2. Key changes from v4.2 are highlighted with [UPDATED] markers throughout this document.

2. Liability Cap [UPDATED]

Aggregate liability caps in supplier agreements are now capped at one times (1x) the fees paid by the Company to the supplier in the twelve (12) months immediately preceding the claim giving rise to liability. Fixed-dollar caps are no longer permitted unless the 1x-fees calculation would produce a cap below USD 100,000, in which case a floor of USD 100,000 applies.

This change reduces the maximum exposure from the prior fixed ceiling of USD 5,000,000 for agreements where annual fees are below that threshold. All existing agreements containing a fixed liability cap must be flagged for amendment at their next renewal.

RULE | liability_cap: 1x annual fees (floor USD 100,000) [CHANGED from USD 5,000,000 fixed]

3. Indemnification [UPDATED]

Indemnification obligations accepted by the Company must be limited to third-party claims arising from the indemnifying party's own negligence or wilful misconduct in performing its obligations under the agreement. Broad-form indemnities covering claims of any kind are no longer permitted, including where offered on a mutual basis.

Any proposed indemnity that goes beyond this scope must be escalated to the General Counsel before execution.

> RULE | indemnity_scope: third_party_claims_only (negligence/wilful misconduct) [CHANGED from broad_form]

4. Data Retention [UPDATED]

Personal data processed under a supplier agreement may be retained by the supplier for a maximum of seven (7) years following termination or expiry of the agreement. This period is reduced from ten years in v4.2 to align with applicable data protection regulations.

Suppliers must provide written confirmation of destruction or return within thirty (30) days of the retention period ending. Agreements containing retention periods longer than seven years must be amended at the earliest opportunity.

> RULE | retention_period: maximum 7 years post-termination [CHANGED from 10 years]

5. Automatic Renewal [UPDATED]

Agreements containing automatic renewal provisions may now provide for renewal periods of up to twenty-four (24) months, provided that the Company retains an unconditional right to terminate for convenience with at least sixty (60) days notice during any renewal period.

Where no such termination right exists, the twelve (12) month cap from v4.2 continues to apply. This change permits longer renewal terms for multi-year technology agreements where pricing certainty is a priority.

> RULE | renewal_term: maximum 24 months (with termination-for-convenience right) [CHANGED from 12 months]

6. Termination for Convenience

All supplier agreements must include a right for the Company to terminate for convenience. The required notice period must be between thirty (30) and ninety (90) days, as negotiated based on agreement complexity. This section is unchanged from v4.2.

> RULE | termination_notice: 30 to 90 days (both parties) [UNCHANGED]

7. Governing Law

Agreements must be governed by the law of one of the following approved jurisdictions: the State of Delaware (USA), the State of New York (USA), or England and Wales. This section is unchanged from v4.2.

Governing law clauses specifying any other jurisdiction require prior Legal approval.

RULE | governing_law: Delaware USA | New York USA | England & Wales [UNCHANGED]

8. Payment Terms

Standard payment terms are net thirty (30) days from invoice receipt. Terms shorter than net 30 require Finance approval. Terms longer than net 60 are not permitted without CFO sign-off. Unchanged from v4.2.

RULE | payment_terms: net 30 standard (range net 30 to net 60) [UNCHANGED]

9. SLA and Uptime

For technology and SaaS agreements, the minimum acceptable uptime commitment is 99.5% measured on a monthly basis. Credits for downtime below the SLA threshold must be included in any such agreement. Unchanged from v4.2.

RULE | sla_uptime: minimum 99.5% monthly [UNCHANGED]

10. IP Ownership

All intellectual property created by a supplier in the course of performing services for the Company must be assigned to the Company upon creation. Work-for-hire language should be included where applicable. Unchanged from v4.2.

RULE | ip_ownership: Company retains all IP created under agreement [UNCHANGED]

11. Approval Matrix

Agreements with a TCV below USD 250,000 may be approved by a Department Head. Agreements between USD 250,000 and USD 2,000,000 require VP approval. Agreements above USD 2,000,000 require CFO and General Counsel approval. Unchanged from v4.2.

12. Policy Administration

This Policy is owned by the Legal & Compliance function and is reviewed annually. Questions should be directed to legal@nexora.example.com. Exceptions require written approval from the General Counsel and must be logged in the Contract Management System.